

Standard Contract Terms Library

Overview

This library defines the market-standard terms expected to be present in every services agreement. These terms represent baseline protections and obligations that a well-formed commercial contract should include, regardless of the specific deal requirements or company playbook positions. Missing terms are flagged automatically during verification and routed for attorney review.

1. Governing Law and Jurisdiction

Every services agreement must specify the governing law and jurisdiction. The clause must identify the state or jurisdiction whose laws govern the interpretation and enforcement of the agreement, the courts of competent jurisdiction for dispute resolution, and whether the parties consent to personal jurisdiction in those courts. The clause must identify a single, definitive legal system and must not leave governing law to be implied by the domicile of either party. Choice-of-law provisions that select a jurisdiction without specifying the dispute resolution forum are incomplete.

2. Limitation of Liability

A bilateral limitation of liability clause must appear in every services agreement, capping aggregate damages at the fees paid or payable under the agreement during the preceding twelve months. The clause should also exclude consequential, incidental, special, and punitive damages for both parties. Standard carve-outs include fraud, gross negligence, wilful misconduct, and death or personal injury caused by negligence. IP indemnities with a financial ceiling are also standard and should be captured separately.

3. Mutual Confidentiality

A mutual confidentiality clause protecting each party's confidential information is standard in all services agreements. The clause should define confidential information broadly, specify permitted disclosures to employees and advisors, impose a duty of care no less than the receiving party uses for its own confidential information, and survive termination for at least two years. Carve-outs for publicly available information and information received from third parties without restriction are standard.

4. Indemnification

A mutual indemnification clause allocating liability for third-party claims is a standard term in services agreements. The clause must address indemnification for IP infringement claims arising from each party's own materials, for claims arising from gross negligence or wilful misconduct, and must include a process for tendering defence and requiring cooperation. Unlimited indemnities without a financial cap are non-standard and must be flagged. Asymmetric IP indemnities where the vendor indemnifies the customer are common in SaaS and services agreements.

5. Data Protection and Deletion

Any services agreement under which personal data or proprietary data is processed must address data protection and data deletion obligations. The agreement must specify the nature and purpose of data processing, the technical and organisational security measures in place, the obligation to notify of a data breach within 72 hours for personal data under GDPR-aligned frameworks, and certified deletion or return of all data within thirty days of termination or expiry. Agreements involving personal data of EU or UK data subjects must reference the applicable transfer mechanism such as Standard Contractual Clauses. Absence of a data-deletion clause is a mandatory escalation item.